



United States
Attorney's Office
Eastern District of New York



Walgreens Agrees to Pay Up to \$350 Million for Illegally Filling Unlawful Opioid Prescriptions and for Submitting False Claims to the Federal Government



Monday, April 21, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of
New York

WASHINGTON – The Justice Department, together with the Drug Enforcement Administration (DEA) and Department of Health and Human Services Office of Inspector General (HHS-OIG), today announced a \$300 million settlement with Walgreens Boots Alliance, Walgreen Co. and various subsidiaries (collectively, Walgreens) to resolve allegations that the national chain pharmacy illegally filled millions of invalid prescriptions for opioids and other controlled substances in violation of the Controlled Substances Act (CSA) and then sought payment for many of those invalid prescriptions by Medicare and other federal healthcare programs in violation of the False Claims Act (FCA). The settlement amount is based on Walgreens's ability to pay. Walgreens will owe the United States an additional \$50 million if the company is sold, merged, or transferred prior to fiscal year 2032.

The government's complaint, filed on Jan. 16 and amended April 18 in the U.S. District Court for the Northern District of Illinois, alleges that from approximately August 2012 through March 1, 2023, Walgreens, one of the nation's largest pharmacy chains, knowingly filled millions of unlawful controlled substance prescriptions. These unlawful prescriptions included prescriptions for excessive quantities of opioids, opioid prescriptions filled significantly early, and prescriptions for the especially dangerous and abused combination of three drugs known as a "trinity." Walgreens pharmacists allegedly filled these prescriptions despite clear "red flags" indicating a high likelihood that the prescriptions were invalid because they lacked a legitimate medical purpose or were not issued in the usual course of professional practice.

The complaint further alleges that Walgreens pressured its pharmacists to fill prescriptions quickly and without taking the time needed to confirm that each prescription was lawful. Walgreens's compliance

officials also allegedly ignored substantial evidence that its stores were dispensing unlawful prescriptions and even intentionally deprived its own pharmacists of crucial information, including by refusing to share internal data regarding prescribers with pharmacists and preventing pharmacists from warning one another about certain problematic prescribers.

In light of Friday's settlement, the United States has moved to dismiss its complaint. Walgreens will also move to dismiss a related declaratory judgment action filed in U.S. District Court for the Eastern District of Texas.

"Pharmacies have a legal responsibility to prescribe controlled substances in a safe and professional manner, not dispense dangerous drugs just for profit," said Attorney General Pamela Bondi. "This Department of Justice is committed to ending the opioid crisis and holding bad actors accountable for their failure to protect patients from addiction."

"This settlement holds Walgreens accountable for failing to comply with its critical responsibility to prevent the diversion of opioids and other controlled substances," said John J. Durham, United States Attorney for the Eastern District of New York. "The settlement also underscores our Office's continued commitment to ensure that all persons and businesses that fill controlled-substance prescriptions adhere to the requirements of the Controlled Substances Act that are designed to prevent highly addictive medications from being used for illegitimate purposes."

"This settlement resolves allegations that, for years, Walgreens failed to meet its obligations when dispensing dangerous opioids and other drugs," said Deputy Assistant Attorney General Michael Granston of the Justice Department's Civil Division. "We will continue to hold accountable those entities and individuals whose actions contributed to the opioid crisis, whether through illegal prescribing, marketing, dispensing, or distributing activities."

In addition to the monetary payments announced today, Walgreens has entered into agreements with DEA and HHS-OIG to address its future obligations in dispensing controlled substances. Walgreens and DEA entered into a Memorandum of Agreement that requires the company to implement and maintain certain compliance measures for the next seven years. Walgreens must maintain policies and procedures requiring pharmacists to confirm the validity of controlled substance prescriptions prior to dispensing controlled substances, provide annual training to pharmacy employees regarding their legal obligations relating to controlled substances, verify that pharmacy staffing is sufficient to enable pharmacy employees to comply with those legal obligations, and maintain a system for blocking prescriptions from prescribers whom Walgreens becomes aware are writing illegitimate controlled substance prescriptions. Walgreens has also entered into a five-year Corporate Integrity Agreement with HHS-OIG, which further requires Walgreens to establish and maintain a compliance program that includes written policies and procedures, training, board oversight, and periodic reporting to HHS-OIG related to Walgreens's dispensing of controlled substances.

The civil settlement resolves four cases brought under the *qui tam*, or whistleblower, provisions of the FCA by former Walgreens employees. The FCA authorizes whistleblowers to sue on behalf of the United States and receive a share of any recovery. It also permits the United States to intervene and take over

such lawsuits, as it did here. The relators will receive a 17.25% share of the government's FCA recovery in this matter.

The claims asserted against defendants are allegations only and there has been no determination of liability.

The United States' pursuit of this matter underscores the government's commitment to combating health care fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement can be reported to HHS, at 800-HHS-TIPS (800-447-8477).

The United States is represented in this matter by attorneys from the Justice Department's Civil Division Consumer Protection Branch (Assistant Director Amy DeLine and Trial Attorney Nicole Frazer) and Commercial Litigation Branch, Fraud Section (Assistant Director Natalie Waites and Trial Attorney Joshua Barron), as well as from the U.S. Attorneys' Offices for the Northern District of Illinois (Assistant U.S. Attorney Valerie R. Raedy), Middle District of Florida (Chief of the Civil Division Randy Harwell and Assistant U.S. Attorney Carolyn Tapie), District of Maryland (Chief of the Civil Division Thomas Corcoran), Eastern District of New York (Assistant U.S. Attorney Elliot M. Schachner) and Eastern District of Virginia (Assistant U.S. Attorney John Beerbower). Fraud Section senior financial analyst Karen Sharp provided support for the matter.

The DEA, HHS-OIG, Defense Criminal Investigative Service, Defense Health Agency (DHA), Office of Personnel Management (OPM), Department of Labor (DOL) Office of Inspector General, Department of Veterans Affairs (VA), Office of Inspector General, FBI Chicago Field Office, and the U.S. Attorneys' Offices for the District of Colorado, Southern District of California, Eastern District of California, Northern District of California, Eastern District of Washington, Southern District of Alabama, Southern District of Illinois, Central District of Illinois, District of Arizona, Western District of Texas, Northern District of Texas, District of Puerto Rico, and Eastern District of Louisiana provided substantial assistance in the investigation.

Contact

John Marzulli

Denise Taylor

United States Attorney's Office

(718) 254-6323

Updated April 21, 2025

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